

# Budget manual (example)

2019

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## Key point

A brief introduction explaining the importance of budgeting to the organisation.

## Example

# Introduction

Budgets are essential to an organisation when it comes to managing and controlling financial resources in order to achieve organisational objectives.

A budget may be used in many ways and for several purposes. Some of the key purposes include:

- Making financial decisions
- Managing organisational objectives
- Thinking about the effective use of resources that are available
- Collecting information on estimated and actual performance
- Using this information to make informed decisions in future business planning.

## Key point

A timetable explaining when the master budget will be compiled from the other budgets.

## Example

### Timetable

| Department    | Account code | Progress Jan                                                                        | Dec |
|---------------|--------------|-------------------------------------------------------------------------------------|-----|
| Master        |              |  |     |
| Marketing     | 34M02A       |  |     |
| Operations    | 22O34B       |  |     |
| Personnel     | 44P78T       |  |     |
| Production    | 58P09E       |  |     |
| Sales         | 11S70C       |  |     |
| Department C  | 29C88U       |  |     |
| Department IP | 13IP9N       |  |     |
| Department X  | 88X94Y       |  |     |

# Key point

Guidelines for the key assumptions (to be used by managers in their budgets).

# Example

## Guidelines

A budget needs to make assumptions about how internal and external business conditions will develop and change.

Managers use sensitivity analysis to review different scenarios. They ask questions and consider the impacts of various alternatives (the “what-ifs”). For example:

1. The economic outlook - Have the government made significant changes to this year's budget which could affect the business?
2. Competition - Are the competitors still the same? are there new competitors offering the same quality? the same or lower price?
3. Customers - How are customer needs likely to change? Do we have current data on customer satisfaction?
4. Staff - What is the current job satisfaction? Is there a high turnover? Is there enough training?
5. Suppliers - Are the current businesses suppliers still fit for purpose? Are there changes in external markets? e.g. can the parts needed to make the product still be obtained? Are there better alternatives?
6. Additional areas that may need to be considered - for example technology.

## Key point

Blank copies of forms to be completed by managers.

## Example

# Forms

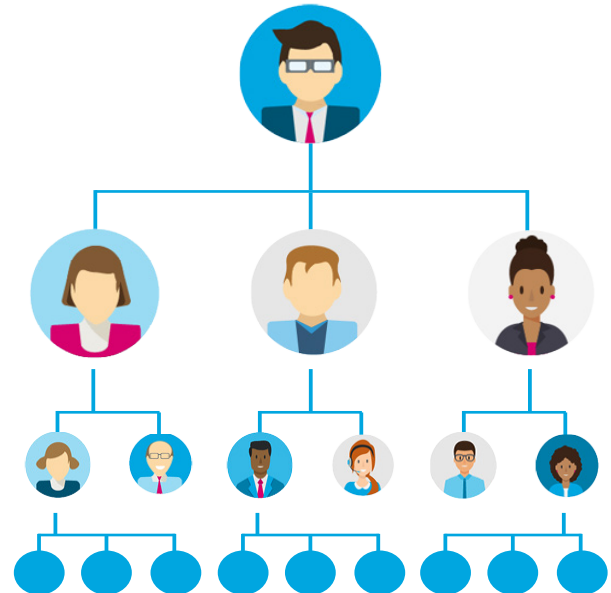
| 2019 | Description      | Q1 E | Q1 A | Q1 V |
|------|------------------|------|------|------|
| 1    | Item description |      |      |      |
| 2    |                  |      |      |      |
|      |                  |      |      |      |
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|      |                  |      |      |      |

## Key point

An organisational chart or index with the names of the people responsible for each budget.

## Example

# Organisation chart



## Key point

Any relevant account codes and the names of people who could be contacted if problems arise.

## Example

### Account codes

| Department    | Name            | Account code | Contact details |
|---------------|-----------------|--------------|-----------------|
| Marketing     | George Nain     | 34M02A       | 0191 2154678    |
| Operations    | Monique Goodson | 22O34B       | 0191 003322     |
| Personnel     | Neel Zanfer     | 44P78T       | 0191 003334     |
| Production    | John Smith      | 58P09E       | 0191 003357     |
| Sales         | Stephen Jones   | 11S70C       | 0191 007822     |
| Department C  | Jenny Roberson  | 29C88U       | 0191 357322     |
| Department IP | Rhonda Anderson | 13IP9N       | 0191 408332     |
| Department X  | Richard Tatson  | 88X94Y       | 0191 4098764    |